

CHAPTER 14

Midlife and Money Karma

Here's what I have learned as I head toward my own twilight years: Nobody gets away with anything. If you didn't work like a dog in your twenties, and you blew your money in your thirties and forties, you're going to have to scrimp like crazy in your fifties and keep working well into your sixties. If you stood in line every morning at Starbucks and dropped \$5 on those fancy, foamy drinks in your twenties and thirties, you'll be serving the same suckers in your sixties and seventies with that part-time barista job you need to subsidize your meager income. If you took ill-advised risks with your investments, you're going to have to pay for that in your golden years, too.

That's Money Karma in action: reward or punishment, depending on your previous financial actions. Good Money Karma works like this: If you had a good financial plan and instituted it, you probably have enough. Now it's time to start giving back. In their later years, my mother and stepfather nestled into a comfortable retirement in Switzerland, but neither one of them ever stopped working. George never really retired. For fifteen years, he continued to consult for the World Bank and other UN organizations, making less money but gaining a greater sense of purpose because the economic policies he proposed helped people better their lives, especially financially. And as I mentioned, my mother volunteered with women's organizations at the UN. Thirty years ago, she and a handful of friends began to make dolls and scarves sold at a bazaar to raise money for children's causes around the world. It was informal at the start. Mostly, it was an